

Apple's new CEO has his work cut out for him

After the initial shockwave of Tim Cook stepping down as CEO of Apple later this year passes, the spotlight shifts to John Ternus, Apple's new incoming CEO from September 1, 2026. And he has plenty to keep him busy from the very first day.

Apple's AI and Siri mess

This is the giant elephant in the room for Apple. Apple is reportedly sending close to 200 Siri engineers for a week-long AI coding bootcamp just before WWDC 2026.

Apple's former AI chief John Giannandrea stepped down in late 2025 in the middle of Apple's Siri crisis, which resulted in Craig Federighi overseeing AI development at Apple, with Mike Rockwell (previously of Vision Pro) now heading the Siri team.

AI has been a persistent chink in Apple's armour. And while Apple struck a \$1 billion Gemini deal with Google to enable AI-features into Siri and Apple Intelligence, the company is in serious danger of missing the AI bus altogether. John Ternus needs to make a big and decisive impact in correcting Apple's Siri and AI story quickly, with something tangible that wows everyone at WWDC 2026.

Apple margins hurting due to AI memory shortage

Another problem for John Ternus to fix is one that gnaws at company earnings. The memory shortage problem has reached Apple. The expanding memory crisis is sharply driving up the price of memory components, as AI datacentres soak up supply.

For a hardware-first company that is priced on gross margins, this memory price hike impacts them dearly. As the hardware guy, John Ternus is the most qualified CEO Apple could have picked for this fight. Ternus will need to have some really tough conversations with Samsung, SK Hynix, and Micron, and possibly have to accept a margin reduction on the iPhone 18 cycle and beyond.



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Jayesh Shinde
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Apple Vision Pro and AR future

Apple's spatial computing push is stuck with Vision Pro at its helm. Apple has already slashed Vision Pro production and marketing push because of weak sales. John Ternus was in the hardware department at Apple when the Vision Pro shipped first.

As incoming CEO, Ternus will have to decide fast whether to go full steam ahead on a cheaper Vision headset or let it fade quietly.

Apple's next iPhone moment

Year after year, one thing becomes clear: the iPhone remains Apple's structural vulnerability in terms of the company revenue concentration. In the first quarter of fiscal year 2026, iPhone sales were 59.31% of total Apple revenue, with \$85 billion generated in a single quarter in Q4 2025.

John Ternus will need a genuine new category which is not another Vision Pro to capture people's imagination and make them feel good about Apple the way Jobs and Cook did till about the 2010s.

Iconic product design

Apple products have always been associated with having a tell-tale design imprint that was both iconic and functional, while being understated. Something that Steve Jobs and Jony Ive are credited for imbibing in Apple's hardware design language.

While Ive is still around, he has charted his own path independent of Apple, currently building an audio-based AI-native device with OpenAI that potentially competes with Apple's own trendsetting hardware paradigm.

Apple went through an unimaginable transition when Jobs appointed Cook as the CEO some 15 years ago, and it led to a windfall in the company's fortunes. There's no reason why lightning can't strike twice, as the baton gets transferred to Ternus. His honeymoon will be short, and the first couple of years are decisive for him to make a lasting impact. **d**